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D-1-GN-26-000754
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CAUSE NO. D-1-GN-26-000754

TEXAS PRECIOUS METALS, LLC, *Plaintiff,*	§	IN THE DISTRICT COURT OF
v.	§	TRAVIS COUNTY, TEXAS
KELLY HANCOCK; in his official capacity as Acting Texas Comptroller of Public Accounts, and MACY DOUGLAS, in her official capacity as Administrator of the Texas Bullion Depository, *Defendants*.	§	459TH JUDICIAL DISTRICT

STATE DEFENDANTS' OPPOSED MOTION TO QUASH NONPARTY SUBPOENA AND FOR ENTRY OF PROTECTIVE ORDER

Defendants Kelly Hancock and Macy Douglas (State Defendants), each in their official capacities, file this Motion to Quash Texas Precious Metals, LLC's Notice of Oral Deposition and Subpoena Duces Tecum to U.S. Gold Bureau and respectfully request the Court quash the Notice of Oral Deposition and enter a protective order staying discovery under the Subpoena Duces Tecum

INTRODUCTION

Texas Precious Metals filed this lawsuit on February 4, 2026. Yet, on February 9, 2026, Texas Precious Metals issued a Notice of Oral Deposition and Subpoena Duces Tecum. Texas Precious Metals did not confer with State Defendants concerning the Notice of Oral Deposition and Subpoena Duces Tecum and the Notice of Oral Deposition and Subpoena Duces Tecum violates the Texas Rules of Civil Procedure governing the discovery process.

LEGAL STANDARD

"A party may compel production of documents and tangible things from a nonparty by serving--a reasonable time before the response is due but no later than 30 days before the end of any applicable discovery period--the notice required in Rule 205.2 and a subpoena compelling production or inspection of documents or tangible things." Tex. R. Civ. P. 205.3(a). However, "[a]

subpoena may not be used for discovery to an extent, in a manner, or at a time other than as provided by the rules governing discovery." Tex. R. Civ. P. 176.3(b).

Unless a suit is governed by a discovery control plan under Rules 190.2 (Level 1 Discovery) or 190.4 (Level 3 Discovery), discovery must be conducted in accordance with Level 2 Discovery. Tex. R. Civ. P. 190.3(a). In a case governed by Level 3 discovery, "[t]he discovery limitations of Rule 190.2, if applicable, or otherwise of Rule 190.3 apply unless specifically changed in the discovery control plan ordered by the court." Tex. R. Civ. P. 190.4(b) Under Level 1 Discovery, "[i]n a suit not governed by the Family Code, all discovery must be conducted during the discovery period, which begins when the first initial disclosures are due and continues for 180 days." Tex. R. Civ. P. 190.2(b)(1)(A). Under Level 2 Discovery, "[i]n a suit not governed by the Family Code, all discovery must be conducted during the discovery period, which begins when the first initial disclosures are due and continues until the earlier of: (i) 30 days before the date set for trial; or (ii) nine months after the first initial disclosures are due." Tex. R. Civ. P. 190.3(b)(1)(A). And generally, "[i]n a suit not governed by the Family Code, unless otherwise agreed to by the parties or ordered by the court, a party cannot serve discovery on another party until after the other party's initial disclosures are due." Tex. R. Civ. P. 192.2(a)(1).

"A party or witness may object to the time and place designated for an oral deposition by motion for protective order or by motion to quash the notice of deposition." Tex. R. Civ. P. 199.4. "If the motion is filed by the third business day after service of the notice of deposition, an objection to the time and place of a deposition stays the oral deposition until the motion can be determined." *Id.* "In computing any period of time prescribed or allowed by these rules, by order of court, or by any applicable statute, the day of the act, event, or default after which the designated period of time begins to run is not to be included." Tex. R. Civ. P. 4.

"A person from whom discovery is sought, and any other person affected by the discovery request, may move within the time permitted for response to the discovery request for an order protecting that person from the discovery sought." Tex. R. Civ. P. 192.6(a). "If a person seeks

protection regarding the time or place of discovery, the person must state a reasonable time and place for discovery with which the person will comply." *Id.* "To protect the movant from undue burden, unnecessary expense, harassment, annoyance, or invasion of personal, constitutional, or property rights," the Court may order, in the interest of justice, that "the requested discovery not be sought in whole or in part; . . . the discovery not be undertaken at the time or place specified; . . . [or] the discovery be undertaken only by such method or upon such terms and conditions or at the time and place directed by the court." Tex. R. Civ. P. 192.6(b).

FACTUAL BACKGROUND

Texas Precious Metals filed its Verified Original Petition and Application for Temporary Restraining Order and Injunctive Relief ("TPM's Petition") on February 4, 2026. TPM's Petition at 1. Texas Precious Metals requested the case proceed "under a Level 3 discovery plan pursuant to Rule 190.4 of the Texas Rules of Civil Procedure." TPM's Petition at 2. Texas Precious Metals issued a Notice of Oral Deposition and Subpoena Duces Tecum ("Subpoena") to U.S. Gold Bureau on February 9, 2025. Exhibit A at 1. State Defendants received notice of the Subpoena that day. *Id.* at 2. The Subpoena orders the U.S. Gold Bureau to "appear at the office of Pillsbury Winthrop Shaw Pittman, LLP . . . at **9:00 a.m. Central Time** on **February 20, 2026**" for an oral deposition. *Id.* at 4. It also orders the U.S. Gold Bureau to produce documents by February 18, 2026. *Id.* This suit is not governed by the Family Code. *See generally* TPM's Petition. The Court has not ordered a Level 3 discovery control plan.

MOTION TO QUASH

State Defendants object to Texas Precious Metals' Notice of Oral Deposition and Subpoena Duces Tecum on grounds of time and place of the deposition and untimeliness of service. State Defendants will suffer prejudice in the absence of judicial intervention, and this intervention is not sought for delay or any improper purpose. As such, State Defendants respectfully request this Court quash the Subpoena and enter a protective order staying Texas Precious Metal's Subpoena Duces Tecum. *See* Tex. R. Civ. P. 199.4.

State Defendants object to the time and place of Texas Precious Metal's Subpoena. *See* Tex. R. Civ. P. 199.4. The enumerated deposition topics include information concerning the sales of State Defendants' "Coins and Redbacks" such as the "quantity and dollar value of completed sales and placed orders," "[p]rocedures for the sale" of these and other promotional products, including "channels through which such items were marketed and sold," among other things. Exhibit A at 13. This is information that Texas Precious Metals could potentially seek from State Defendants and has the possibility of containing confidential information affecting State Defendants' rights. As such, State Defendants may desire to be present at the deposition. However, Texas Precious Metals did not confer with State Defendants regarding the time or place of the deposition.

Additionally, State Defendants object to the Subpoena on the grounds that it is untimely. Texas Precious Metals filed the present lawsuit on February 4, 2026. TPM's Petition at 1. Texas Precious Metals requested discovery proceed under Level 3. TPM's Petition at 2. However, the Court has not entered a discovery order, nor have the parties agreed to expedited discovery. Thus, Level 2 discovery rules currently apply. Tex. R. Civ. P. 190.3(a) ("Unless a suit is governed by a discovery control plan under Rules 190.2 or 190.4, discovery must be conducted in accordance with this subdivision."). But even if Level 3 discovery rules govern, Level 1 discovery rules apply in the absence of a Court order. Tex. R. Civ. P. 190.4(b) ("The discovery limitations of Rule 190.2, if applicable, or otherwise Rule 190.3 apply unless specifically changed in the discovery control plan ordered by the Court."). Regardless, both Level 1 and 2 discovery rules state "all discovery must be conducted during the discovery period, which begins when the first initial disclosures are due[.]"Tex. R. Civ. P. 190.2(b)(1)(A); Tex R. Civ. P. 190.3(b)(1)(A). In suits not governed by the Family Code, initial disclosures are due "within 30 days after the filing of the first answer or general appearance unless a different time is set by the parties' agreement or court order." Tex. R. Civ. P. 194.2(a).

The discovery period is not open. Thirty days have not occurred since Texas Precious

Metals filed its lawsuit, much less since State Defendants made their first general appearance. TPM's Petition at 1; Defendants' Notice of Appearance of Counsel at 2 (filed Feb. 10, 2026). The Court has not entered an order modifying the discovery period, nor have parties entered into an agreement. As such, the discovery period is not open.

The Subpoena is a form of discovery which must be conducted during the discovery period. Notices of Oral Deposition and Subpoenas Duces Tecum to nonparties are forms of discovery. Tex. R. Civ. P. 205.1 ("Forms of Discovery; Subpoena Requirement"). Under both Level 1 and 2 discovery "all discovery must be conducted during the discovery period[.]" Tex. R. Civ. P. 190.2(b)(1)(A); Tex R. Civ. P. 190.3(b)(1)(A). As such, the Subpoena must be issued during the discovery period. *See* Tex. R. Civ. P. 190.2(b)(1)(A); *see also* Tex R. Civ. P. 190.3(b)(1)(A). Because the Subpoena was issued before discovery period was open, it is untimely.

State Defendants are prejudiced by the Subpoena because it is untimely and seeks information that, in large part, could otherwise be potentially discoverable from State Defendants during the regular discovery period. Moreover, the discovery sought is overbroad and not relevant to the answer before the Court in this matter: the scope of State Defendants' authority under a statute. This prejudice could be alleviated by this Court's entry of an order quashing the Subpoena and entry of a protective order staying the requested discovery.

For these reasons, State Defendants request the Court quash the Subpoena and enter a protective order staying the requested discovery until the discovery period is open by operation of law, order of the Court, or agreement of the parties and until a protective order concerning potential confidential, trade secret, or otherwise privileged documents and information has been agreed to by the parties and entered into by this Court.

CONCLUSION

For these reasons, State Defendants respectfully request that this Court quash Texas Precious Metals, LLC's Notice of Oral Deposition and Subpoena Duces Tecum to U.S. Gold Bureau and enter a protective order.

Date: February 12, 2026

Respectfully Submitted.

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COUNSEL FOR DEFENDANTS

CERTIFICATE OF CONFERENCE

I certify that on February 12, 2026, I conferred with Mr. Ryan Sullivan, counsel for Plaintiff, Texas Precious Metals in a good faith effort to resolve or narrow the issues raised. We were unable to resolve the issues raised by this Motion and Mr. Sullivan indicated TPM is opposed to the filing of this Motion.

/s/ Ali M. Thorburn
ALI M. THORBURN
Special Counsel

CERTIFICATE OF SERVICE

I certify that on February 12, 2026, a true and correct copy of the above and foregoing has been served has been served on all counsel of record in accordance with File and Serve Texas System of Travis County, Texas.

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